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SECTION A (40 marks)

Answer ALL questions under this section A

Question 1

a. State three main importance of Logistics in supply chain management **(3 marks)**

b. The parties to the contract in procurement normally have no right to terminate the contract. Explain this statement as briefly as possible **(5 marks)**

Question 2

Enumerate the components of the logistics cycle by

a. Stating three of the activities in the cycle **(3 marks)**

b. Stating any three constituent of the heart of the cycle **(3 marks)**

Question 3

What do you understand by the following logistics management information system essential data items?

a. Stock on Hand **(2 marks)**

b. Rate of consumption **(2 marks)**

c. Losses/adjustments **(2 marks)**

Question 4

a. Give two purposes of an inventory control system **(2 marks)**

b. Mention two functions of a procurement entity? **(2 marks)**

Question 5

a. What are the **three** activities that happen to supplies in a logistics system?**(3 marks)**

b. Why the need for the contract amendment? **(3 marks)**

Question 6

a. State five procurement processes known to you **(5 marks)**

b. Indicate any two procurement ethics **(2 marks)**

c. Indicate three roles of the in charge at the health facility. **(3 marks)**

1. State three main importance of Logistics in supply chain management

Answer: Logistics plays a critical role in supply chain management by ensuring efficient flow and storage of goods, services, and related information from the point of origin to the point of consumption.

Explanation:

Cost Reduction: Efficient logistics minimizes transportation, warehousing, and inventory costs.

Improved Customer Satisfaction: Timely and accurate delivery of products enhances customer service and loyalty.

Competitive Advantage: Effective logistics allows a company to offer better service or lower prices than competitors.

1. B. The parties to the contract in procurement normally have no right to terminate the contract. Explain this statement as briefly as possible

Answer: The statement is incorrect; parties to a contract in procurement normally have the right to terminate the contract, provided specific conditions or clauses within the contract are met.

Explanation:

Contracts typically include termination clauses that allow for termination due to breach of contract by the other party, force majeure events, or mutual agreement.

Termination without cause may also be possible if specified in the contract, often requiring a notice period and potential compensation.

Legal frameworks governing procurement (e.g., public procurement regulations) outline valid reasons and procedures for contract termination to protect the interests of all parties and ensure fairness.

2. A. Stating three of the activities in the cycle

Answer: Three common activities in the logistics cycle are order processing, inventory management, and transportation.

Explanation:

Order processing involves receiving, handling, and fulfilling customer orders.

Inventory management deals with managing stock levels, storage, and movement of goods.

Transportation involves the physical movement of goods from one location to another.

3. B. Stating any three constituent of the heart of the cycle

Answer: The "heart" of the logistics cycle typically refers to the core processes that drive the flow of goods, which include information flow, physical distribution, and supply management.

Explanation:

Information flow: The exchange of data and communication among all stakeholders in the supply chain.

Physical distribution: The activities involved in moving products to customers.

Supply management: The processes related to sourcing and obtaining necessary inputs.

4. A. Stock on Hand

Answer: Stock on Hand refers to the physical quantity of a specific item that is currently available in the inventory or warehouse at a given time.

Explanation:

This data item is crucial for assessing immediate availability, fulfilling orders, and preventing stockouts.

2. B. Rate of consumption

Answer: Rate of consumption is the speed or frequency at which a particular item is used or consumed over a specific period.

Explanation:

This metric helps in forecasting future demand, planning procurement, and determining reorder points.

3. E. Losses/adjustments

Answer: Losses/adjustments are the recorded changes in inventory levels that are not due to standard consumption or sales.

Explanation:

This includes items lost, damaged, expired, stolen, or discrepancies found during physical counts.

4. A. Give two purposes of an inventory control system

Answer: Two purposes of an inventory control system are to minimize inventory costs and to ensure product availability to meet demand.

Explanation:

Minimizing costs: Prevents overstocking (which ties up capital) and understocking (which leads to lost sales).

Ensuring availability: Helps maintain optimal stock levels to satisfy customer needs and avoid disruptions.

5. B. Mention two functions of a procurement entity?

Answer: Two functions of a procurement entity are to source suppliers and to manage contracts.

Explanation:

Sourcing suppliers: Identifying and evaluating potential vendors to obtain goods or services.

Managing contracts: Overseeing the performance of contracts and ensuring compliance with agreed terms.

6. A. What are the three activities that happen to supplies in a logistics system?

Answer: Three key activities are storage, handling, and transportation.

Explanation:

Storage: Holding goods in a warehouse or facility.

Handling: Moving, loading, and unloading supplies within the system.

Transportation: The physical movement between locations.

5. B. Why the need for the contract amendment?

Answer: Contract amendments are needed to accommodate changes in circumstances, scope of work, or legal requirements that arise after the initial contract has been signed.

Explanation:

They ensure the contract remains a relevant and legally binding document that reflects the current agreement between the parties.

6. A. State five procurement processes known to you

Answer: Five common procurement processes are need recognition, requisitioning, sourcing, purchase order management, and contract management.